ParityQC Quantum Function Software License Terms

These ParityQC Quantum Function Software License Terms are binding between the person or entity obtaining a license to use the ParityQC Quantum Function ("Customer", "You" or "Licensee") and ParityQC ("ParityQC" or "the Licensor") holding all rights in and to the ParityQC Quantum Function ("Service"). By clicking to accept these terms via an IBM webpage or by otherwise accepting these terms, e.g. by accessing or using the Service via the IBM Quantum Platform, You accept the terms of these Software License Terms, as may be amended from time to time, as a binding Agreement between You and ParityQC.

The ParityQC Quantum Function Software License Terms may be supplemented by a separate License Contract Form determining various variable parameters defining the specific licensing relationship. Such License Contract Form and the ParityQC Quantum Function Software License Terms together with the exhibits and applicable Addendum (if any) thereto contain the entire understanding of the parties with respect to the Licensee's use of and access to the Service and supersede all prior agreements and understandings, oral (including preliminary discussions) or written, with respect to such matters. Deviating, conflicting or supplementary general terms and conditions of Licensee shall not become part of the contract unless their validity is expressly agreed by ParityQC in writing. In case of a conflict the provisions of the License Contract Form prevail before the ParityQC Quantum Function Software License Terms. Use of the Service via the IBM Quantum Platform is also subject to the terms and conditions for use of the IBM Platform agreed upon between IBM and the Customer.

ParityQC offers its Service exclusively to business customers. Use of the Service by consumers is expressly excluded.

1. Definitions

1.1. *"Agreement"* shall mean the ParityQC Quantum Function Software License Terms and the License Contract Form, if any, together with the exhibits and applicable Addendum thereto, if any, and the terms „herein", „hereunder", „hereto" and such similar expressions shall refer to this Agreement.

1.2. „*Confidential Information*" shall mean and include all know how, data and information of either Party, whether they are communicated orally, in writing or in any other form,

(i) which is not generally known in the public,

(ii) where there is a legitimate interest of the Providing Party in maintaining confidentiality and

(iii) which is marked or identified as confidential, or information that the Receiving Party should reasonably expect to be confidential,

particularly including all non-public information relating to the functionality and background of the ParityQC Quantum Function and the Environment Output and the software code and algorithms included in the ParityQC Quantum Function.

1.3. *"Effective Date"* shall mean the date of the last signature to the Agreement or in case the Agreement is concluded in electronic form, the date of the last declaration to conclude the Agreement.

1.4. "*Environment Output*" shall mean any information, code, algorithm or other output (e.g. quantum circuits) obtained by using compiling functionalities of one of the Services (in particular encoding functions) on any given algorithm, code or other information, i.e. any output directly obtained through the compilation process as such. For clarification Environment Output does only include the direct output of the compilation process but not the results of subsequent calculations performed on a quantum system using Environment Output.

1.5. "*License Contract Form*" shall mean any separate form relating to and determining defining the specific licensing relationship included by the Parties by agreement in electronic or written form.

1.6. „*Purpose*“ shall mean the purpose further specified in the License Contract Form to which the acceptable use of ParityQC Quantum Function under the Agreement is limited, if any, or otherwise the intended use of the service via the IBM Platform within the defined functionality.
1.7. *“Service”* shall mean the Parity QC Quantum Function, currently named Parity Twine Optimizer, hosted and executed on IBM Hardware by IBM

2. Access to the Service and Warranties

2.1. The Parties agree that the Service is software that is still under development. The use of the Service is subject to partial limitations, in particular in terms of the size of the system and the accuracy of the results and subject to further developments and changes. Access to the Service is therefore provided on an “AS IS” and “AS AVAILABLE” basis without any warranties of any kind as to specific functionality and/or availability of the Service and/or the accuracy or fitness of the Service and/or any Environment Output for any specific purpose. The Results obtained from the Service might not always meet the expected outcome and cannot be expected to be fit for any specific purpose.
2.2. ParityQC may update and further develop the Service at any time and, in particular, adapt it to current legal developments, technical developments or to improve its performance or security. In doing so, ParityQC shall give due consideration to Licensee’s legitimate interests. In the event of a significant impairment of Licensee’s legitimate interests by any update to the Service, Licensee shall have a right of termination for good cause.
2.3. The Service may not be available and functional at all times and may not be free from unknown bugs and errors.
2.4. The Parties may amend the current license (e.g. by adding further users, extend the Compiler Time or the executions on the QPU) in writing based on a separate License Contract Form.
2.5. Licensee agrees to keep the login details, including the personal password, confidential. If Licensee believes that login details to any accounts provided by ParityQC have been used by or made available to any other person, Licensee must notify ParityQC without undue delay via the contact indicated to Licensee by ParityQC. Licensee is responsible for all its activity that takes place in or through any account provided to Licensee by ParityQC.
2.6. The Service is provided through the IBM Platform, hosted and executed on IBM hardware by IBM. Use requires Licensees own valid IBM Quantum Plan together with Resource Units provided by IBM. A valid IBM Quantum Plan is a necessary prerequisite for use of the Service and Licensee is not able to use the Service despite a valid license without a valid IBM Quantum Plan in which case Licensee shall not be entitled to claim any damages or refunds from ParityQC.
2.7. ParityQC has no control over and assumes no responsibility for the availability, capacity, quotas or operation of the IBM Quantum Platform or the IBM hardware, which is governed by separate agreement between Customer and IBM.

3. Service Levels and Support

3.1. No Service Level Agreement (SLA) is provided.
3.2. Technical Support is provided on a best effort basis. There are no guaranteed response times for technical support.

4. License Grant

4.1. Except for the rights expressly granted and/or assigned in this Agreement, each Party will retain all interest in, and ownership of its intellectual property. ParityQC in particular retains sole ownership of all of its right, title and interest in the Service.
4.2. If Licensee provides any suggestions or ideas for improving the Service, Licensee grants ParityQC the right to use, disclose and/or otherwise exploit such suggestions and/or ideas in any form and for any purpose at ParityQC’s free discretion without any consideration applicable and without accounting to Licensee.
4.3. ParityQC grants to Licensee a non-exclusive, non-transferable, non-sublicensable right to use the Service solely in conjunction with IBM’s Quantum Platform and in accordance with the provisions and the restrictions in this Agreement and limited to the term of the Agreement.

4.4. ParityQC hereby grants to Licensee a non-exclusive, non-transferable, non-sublicensable, worldwide license to use Environment Output within the scope of the Purpose, if such Purpose is defined. This license grant particularly excludes any commercialization of Environment Output towards third parties, e.g. by further distributing Environment Output and/or granting access to Environment Output to third parties. Licensee is, however, not in any way restricted to use the subsequent calculations performed on a quantum systems using the Environment Output.

4.5. Licensee may not duplicate the Service or parts thereof unless this is strictly necessary for use in accordance with the Agreement or otherwise permitted under mandatory legal provisions. Software documentation may only be reproduced for internal use for the term of the Agreement.

4.6. Licensee undertakes towards ParityQC not to reverse engineer, create derivative works, disassemble, decompile, translate or make any unauthorized disclosures of the Service or parts thereof by analysing any information or data or software code obtained by Licensee in the course of the execution of the Agreement, particularly including any parts of the Work Results and/or Environment Output or by any other way including by way of utilizing artificial intelligence systems or any other tools and/or third-parties. Mandatory legal provisions regarding the decompilation of software remain unaffected.

4.7. Should ParityQC under this Agreement distribute any software, which is subject to open-source-licenses prohibiting a further distribution of the respective software under differing license terms, the terms of such open-source-license shall apply to such software.

5. Confidentiality

5.1. Throughout the Term of this Agreement and for a period of five (5) years thereafter, except in the case of trade secrets, which shall remain subject to the following requirements for as long as they remain trade secrets under applicable law (in total, the “Confidentiality Period”) all Confidential Information disclosed, revealed or otherwise made available by one Party („Disclosing Party“) to the other Party („Receiving Party“) under, or as a result of, this Agreement is furnished to the Receiving Party solely to permit the Receiving Party to exercise its rights, and perform its obligations, under this Agreement. Unless explicitly stipulated in this Agreement or otherwise agreed on between the Parties in writing, the Receiving Party throughout the Confidentiality Period shall not use any of the Disclosing Party’s Confidential Information outside this purpose, and shall not disclose, reveal or otherwise make any of the Disclosing Party’s Confidential Information available to any Third Party, without the prior written authorization of the Disclosing Party.

5.2. In furtherance of the Receiving Party’s obligations under the above Section, the Receiving Party shall take all appropriate steps, and shall implement all appropriate safeguards, to prevent the unauthorized use or disclosure of any of the Disclosing Party’s Confidential Information. Without limiting the generality of this Section, the Receiving Party shall disclose any of the Disclosing Party’s Confidential Information only to those of its officers, employees, agents, consultants , or representatives that have a need to know the Disclosing Party’s Confidential Information, in order for the Receiving Party to exercise its rights and perform its obligations under this Agreement, and only if such officers, employees, agents, consultants or representatives have executed appropriate non-disclosure agreements containing substantially similar terms regarding confidentiality as those set out in this Agreement or are otherwise bound by obligations of confidentiality effectively prohibiting the unauthorized use or disclosure of the Disclosing Party’s Confidential Information.

5.3. The Receiving Party shall furnish the Disclosing Party with written notice of any unauthorized use or disclosure of any of the Disclosing Party’s Confidential Information without undue delay and shall take all actions that the Disclosing Party reasonably requests in order to prevent any further unauthorized use or disclosure of the Disclosing Party’s Confidential Information.

5.4. The Receiving Party’s obligations under the above Sections shall not apply to the extent that the Receiving Party can prove by written evidence that the respective Confidential Information:

5.4.1. passes into the public domain, or becomes generally available to the public without a fault of the Receiving Party;

5.4.2. was known to the Receiving Party prior to disclosure hereunder by the Disclosing Party;
5.4.3. is disclosed, revealed or otherwise made available to the Receiving Party by a Third Party that is under no obligation of non-disclosure and/or non-use to the Disclosing Party;
5.4.4. is required to be disclosed under applicable law or by court order; provided, however, that the Receiving Party shall furnish the Disclosing Party with as much prior written notice of such disclosure requirement as reasonably practicable, so as to permit the Disclosing Party, in its sole discretion, to take appropriate action in order to prevent the Disclosing Party's Confidential Information from passing into the public domain or becoming generally available to the public;
5.4.5. is independently developed by the Receiving Party without breach of this Agreement as evidenced by contemporaneous written records;
5.4.6. has been obtained through an observation, investigation, dismantling or testing of a product or object that has been made publicly available or is in the lawful possession of the Receiving Party and is not subject to any obligation to restrict the acquisition of Confidential information;
5.4.7. has been obtained through an exercise of information and consultation rights of the employees or participation and co-determination rights of the employee representatives.

5.5. Upon expiration or termination of this Agreement for any reason whatsoever, the Receiving Party shall return to the Disclosing Party, or destroy, as the Disclosing Party shall specify in writing, all copies of all documents and other materials that contain or embody any of the Disclosing Party's Confidential Information, except to the extent that the Receiving Party is required by applicable law or permitted under this Agreement to retain such documents and materials.

5.6. All of the Receiving Party's obligations under this Section 5, with respect to the protection of the Disclosing Party's Confidential Information, shall survive the expiration or termination of this Agreement for any reason whatsoever and apply for the entire Confidentiality Period.

5.7. Each Party acknowledges that the other would suffer irreparable damage in the event of any material breach of the provisions of this Confidentiality clause. Accordingly, in such event, a Party will be entitled to seek preliminary and final injunctive relief, as well as any other applicable remedies at law or in equity against the Party who has breached or threatened to breach this Agreement. In addition, the Party breaching this Agreement will be liable to the other Party for such Party's costs, attorney fees and expenses expended in asserting its rights under this Agreement.

6. Acceptable Use, Suspension of usage

6.1. Notwithstanding any other restrictions provided for in this Agreement, Licensee shall not, and shall not permit or authorize any third party to do anything of the following:

6.1.1. use the Service for any illegal or unlawful purposes or activities; to harm, damage or disparage others; or for any other unethical, abusive or harmful purposes;
6.1.2. use the Service or any part thereof for any commercial or for-profit purpose or any other purpose than permitted in this Agreement;
6.1.3. modify, adapt, decompile, disassemble, translate into another computer language, create derivative works of or otherwise reverse engineer the Service;
6.1.4. extract any Environment Output from the IBM Quantum Platform for any use outside the IBM Quantum Platform;
6.1.5. sell, resell, license, sublicense, rent, lease or otherwise commercialize the Service by granting direct or indirect access to the Service and/or Environment Output to third parties;
6.1.6. spoof or falsify any login details, interfere with or circumvent any access controls or security mechanisms, or otherwise attempt to gain unauthorized or excessive access to the Services;
6.1.7. access or use any feature of the Service by any other means than the interfaces provided by ParityQC (including the IBM Quantum Platform);

6.1.8. interfere with or disrupt the integrity or performance of the Service or any networks or servers related to the Service;
6.1.9. use any bots, crawlers, scrapers or other automated means, codes or scripts to gather or extract data or other information from the Service;
6.1.10. use any performance, benchmarking, or other comparative analysis of the Service for advertising competing systems
6.1.11. use the Environment Output of the Service to create derivative products or to create competitive products of any kind;
6.1.12. disclose any trade secrets of any other Confidential Information relating to or incorporated into the Service;
6.1.13. use any Environment Output or other Confidential Information of ParityQC in connection with third-party artificial intelligence systems or for training artificial intelligence systems or LLMs.

6.2. In case of (1) a breach of any of the above undertakings, or (2) in case of default of payment of any fees due and payable under this Agreement, ParityQC shall be entitled to temporarily or permanently suspend Licensees access to the Service as far and as long as required to remedy such breach. Any further claims for damages or termination for cause remain unaffected.

7. Fees and Payment

Subject to the terms and conditions for use of the IBM Platform agreed upon between IBM and the Customer, Licensee shall pay for the access to the Service the corresponding Resources Units provided by IBM on the basis of size thresholds, as separately notified, determined by the domain input variables, in particular for common types (eg. Variables and Density).

8. Liability for Damages

8.1. Subject to the following exceptions, the Parties' liability for damages in case of simple negligence shall be excluded.

8.2. The Parties remain fully liable in case of gross negligence and wilful conduct and also in cases of simple negligence,

8.2.1. for damages resulting from injury to life, body or health;
8.2.2. in case of a breach of guarantees provided by either Party;
8.2.3. in case of a breach of a material contractual obligation, i.e. an obligation whose fulfilment is essential for the proper execution of the contract and on whose compliance the contractual partner regularly relies and may rely;
8.2.4. in case of claims under the German Product Liability Act (Produkthaftungsgesetz).

8.3. In case of a liability under Section 8.2.3 above, the liability of either Party for a slightly negligent breach of material obligations is limited to the typically foreseeable damage on the Effective Date.

9. Indemnification

Licensee will indemnify and hold harmless ParityQC and its affiliates from all claims any third party raises against ParityQC or any of its affiliates based on or due to Licensee's use of the Service. Such indemnification includes the reimbursement of reasonable legal fees incurred at ParityQC for defending against any such claims.

10. Term and Termination

10.1. This Agreement shall enter into force upon granting access to the Service and shall remain in force for as long as the Service is used by Licensee together with an active IBM Quantum Plan. With termination of the IBM Quantum Plan this Agreement shall automatically terminate.

10.2. Either Party may terminate this Agreement with immediate effect and without prejudice to any other right or remedy it may have against the other Party for good cause. Both parties agree that there will be a good cause

10.2.1. for either party to terminate the agreement if the other Party has breached a material obligation under this Agreement and has failed to cure such breach within 30 days following written notice thereof;

10.2.2. for ParityQC if Licensee repeatedly breached the Acceptable Use provisions stipulated in Section 6.1 above.

10.3. If ParityQC terminates this Agreement for good cause, such termination shall not affect Licensee's obligation to pay the remuneration as agreed in this agreement or any agreement between the Customer and IBM without any deductions. ParityQC shall not be obliged to refund any payments made by Licensee under this Agreement or any agreement between the Customer and IBM.

10.4. Upon termination or expiration of this Agreement for whatsoever reason Licensee is not further authorized to access and or use the Service. In case Licensee downloaded and installed any client-based components of the Service Licensee shall permanently remove any such components and copies thereof without undue delay upon termination/expiration of this Agreement.

10.5. Sections 5, 8 and 9 shall survive the termination or expiration of this Agreement.

11. Import and Export Regulations

11.1. Licensee must comply with all applicable import, export, embargo and sanctions regulations.

11.2. Licensee will not access or use the Services in a manner contrary to applicable export, embargo, and sanctions regulations related, including restrictions related to certain end uses and end users. Further, Licensee will not directly or indirectly export or re-export, at any time, any technology, software and/or service provided or obtained through this Agreement, to any prohibited country (including release of technology, software and/or commodities to nationals, wherever they may be located, of any prohibited country) as specified in applicable export, embargo and sanctions regulations, in particular Austrian, EU or U.S export laws

12. Data Protection

Licensor does not process data of the Licensee except to the extend technically required to provide access to the Services through IBM. All processing, if any, occurs within IBM' controlled environment.

13. Miscellaneous, Governing Law, Legal Venue

13.1. The invalidity or unenforceability of any provision of this Agreement shall not affect the validity or enforceability of any other provision hereof.

13.2. It is the intent and agreement of the Parties that in case of invalidity or enforceability of any provision of this Agreement both Parties shall use best effort to mutually amend the Agreement by modifying such provision to the extent necessary to render it valid, legal and enforceable while preserving its intent or, if such modification is not possible, by substituting another provision that is legal and enforceable and that achieves the same objective.

13.3. The validity, interpretation, construction and performance of this Agreement shall be governed by the laws of Germany without reference to its conflict of laws provisions.

13.4. In case Licensee is a merchant, a public legal entity, or a special asset (Sondervermögen) under public law or Licensee does not have a general place of jurisdiction in Germany, the legal venue for any dispute relating to the validity, performance, construction or interpretation of this Agreement, shall be Munich, Germany.

13.5. Except as otherwise expressly provided to the contrary in this Agreement, this Agreement may only be changed, modified, or amended by written agreement of both Parties in writing.

13.6. Licensee may not assign this Agreement or any of its rights or obligations under this Agreement, in whole or in part, without the prior written consent of ParityQC, and any attempted or purported assignment thereof without such consent shall be null and void. Notwithstanding the foregoing, Licensee may assign this Agreement without such prior written consent in the context of a merger, acquisition, or sale of all or substantially all of its assets.

This Agreement shall inure to the benefit of, be binding upon, and be enforceable against, each of the Parties hereto and their respective permitted successors and assigns.

14. ParityQC Contact:

Name: Parity Quantum Computing GmbH
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